

Known globally for its edgy design sense, Kia instantly made an impact with the launch of the Seltos sports utility vehicle (SUV) in August 2019. At a time when India's auto industry was facing its worst slump in decades, Seltos took the market by storm, outselling two of the most popular cars in the compact SUV segment—Hyundai Creta and Maruti Brezza. Backed by smart, quirky branding campaigns and the knowledge and resources of its cousin Hyundai, Kia India has reached in less than three years a position other celebrated global names have been unable to reach in decades—market share of almost 6 per cent, and No. 5 position in the Indian four-wheeler pecking order.

But as it moves forward, Kia needs to be ready for stiffer competition. Already, in FY22, its growth rate (in utility vehicle unit sales) has slowed to 19.9 per cent compared to 83.4 per cent in FY21. More tellingly, Kia was No. 3 in utility vehicle sales in FY21. But in FY22, it has been pushed down to No. 5 in the segment by old warriors Tata Motors and Mahindra & Mahindra, which have grown 161.6 per cent and 43.8 per cent, respectively. Even segment leader Maruti Suzuki has grown SUV sales faster than Kia in FY22, at 26.9 per cent.

44 | Nonetheless, the story of how Kia came out of nowhere to make a sizeable dent in arguably the world's toughest car market, is an impressive tale of how it smartly combined conventional wisdom with modern strategy and tools to concoct a winning formula.

FOR STARTERS, the Meerkat approach was strategic for Kia's 25-45-year-old target group. Rahul Vengalil, Managing Partner of Isobar, a creative agency that managed Kia's digital launch campaigns, says that for a young, upwardly mobile consumer, digital and social media platforms were key to build engagement and anticipation for the brand at a time when few Indians knew about it. "Meerkat worked really well to connect with young consumers. It had a 12.8 million-plus reach on Instagram alone. We created memorable experiences using it at the Auto Expo as well. People saw it as a cool brand," he says.

What Kia also got right was the product strategy—enter the market in the most booming category of mid-sized SUVs—with Seltos. The fact that India was part of the global launch of Seltos

seems to have also resonated well with customers. Now, with four UVs—Sonet, Seltos, Carens and Carnival—selling like hot cakes in India, the automaker has started a third shift in its Anantapur manufacturing plant and ended up producing 236,036 cars in the country in FY22.

Globally, Kia has some successful sedans and hatchbacks, but the company's strategy for India is clear. "We call them recreational vehicles (SUVs and MPVs). We would like to stick to this segment and not venture into sedans and hatchbacks for the time being," says Hardeep Singh Brar, Vice President and Head of Sales and Marketing at Kia India. The company did bring a hatchback—Rio—to India, but didn't launch it. Brar says Kia's product strategy has been accurate: "Not only in terms of design but also in terms of features and driveability, we were bang on. When we entered, our brand awareness was 1 per cent. Today it's more than 95 per cent."

MyungSik Sohn, Kia India's Chief Sales Officer, says overall ownership experience is another thing that worked well. "Over the past two and a half years, we have introduced several industry-first initiatives such as the 'Advanced Pick and Drop' programme and 'My Convenience'. These initiatives not only brought the maintenance cost of our vehicles down, but also provided a hassle-free ownership experience to our customers. The recent launch of Carens offers a maintenance cost of only 37 paise per km."

And then there was Kia India's network strategy. Says Sohn: "Since the beginning of our India operations, we have focussed on being accessible to all our customers across the country with the largest network for any new entrant, 265 touch points in 160 cities, adding to the convenience and confidence of customers. We have already expanded our network to 339 touch points primarily focussed on expansion in Tier IV and upcountry markets." In CY2022, Kia India aims to penetrate the Indian market further with 400 touch points across 225 cities.

Partnerships are key for carmakers to survive in a tough market like India. For Kia, having Hyundai's wealth of knowledge and understanding of the Indian market has been a godsend, besides having access to some resources as well. Kia was also able to ramp up its dealership network. The company had 150 dealers in the beginning that gave it coverage of 70-75 per cent of the market. That was

₹1,111

CRORE

KIA INDIA'S NET PROFIT
IN FY21, FOLLOWING
A LOSS OF ₹329 CRORE
IN FY20

400

TOUCHPOINTS

KIA PLANS TO BE
PRESENT IN 225 CITIES
WITH 400 TOUCHPOINTS
IN CY2022